

Australia v. Philip Morris

Case overview — Plain packaging & investor-state dispute settlement



Plain packaging in Australia.

Overview

To what extent should governments retain the ability to regulate global businesses in the public interest? When does regulation cross into "creeping expropriation" — an unfair taking of a firm's assets and value? Since the 1990s, the number of bilateral investment treaties (BITs) has exploded. BITs were originally seen as a way for governments to overcome "obsolescing bargaining" dynamics that create investment hold-up problems: a government with weak rule of law could sign a BIT to reassure multinational investors that their property would be respected, which in turn lowers the political risk of investing there.

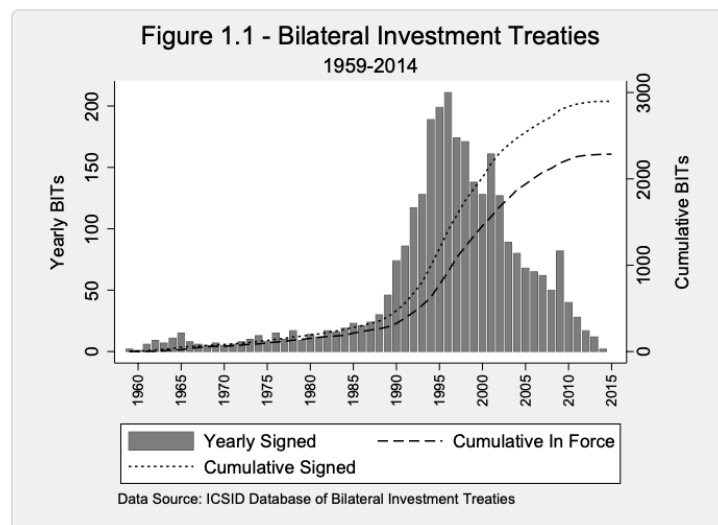


Figure 1.1 — Bilateral Investment Treaties, 1959–2014. Data source: ICSID Database of Bilateral Investment Treaties.

But BITs also do something distinctive: they let multinational firms initiate arbitration proceedings against governments in international tribunals — a mechanism known as

investor-state dispute settlement (ISDS). Most BITs give "covered" investors this extra-legal option for resolving disputes with host governments, while host governments themselves generally cannot bring disputes against firms through the same mechanism (they instead rely on their own domestic courts). As more and more disputes move through arbitration, the cost to host governments — in legal fees and in constraints on their own regulatory latitude — has become increasingly visible.

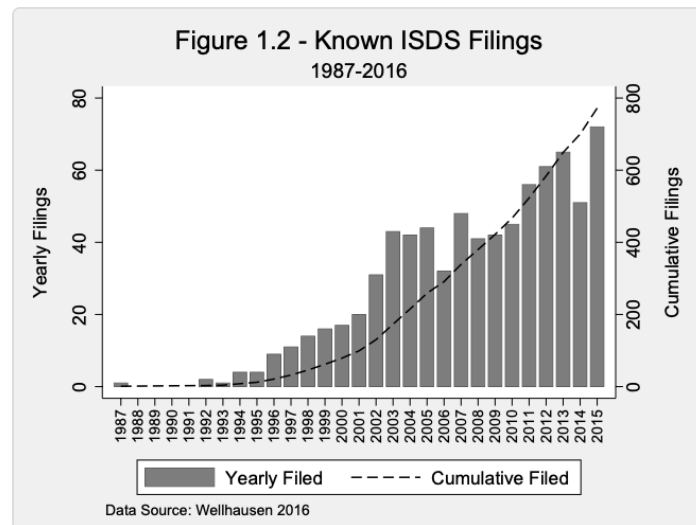


Figure 1.2 — Known ISDS Filings, 1987–2016. Data source: Wellhausen 2016.

Critics raise several concerns about BITs and the ISDS claims they enable:

- Absent safeguards, firms can set up "paper tigers" — holding companies with no real assets, employees, or activity — purely to gain treaty protection they wouldn't otherwise have.
- Firms push for broad definitions of "fair and equitable treatment" (FET), a standard clause meant to keep governments from regulating in ways that disproportionately burden foreign companies. FET clauses typically promise investors protection of their legitimate expectations, protection against discrimination and arbitrary treatment, due process, transparency, and protection against denial of justice — and firms often make expansive claims about what their "legitimate expectations" were at the time of investment, which can make it hard for governments to regulate in the public interest afterward.
- Firms can pursue long, costly legal strategies that poorer countries struggle to counter, sometimes leading those countries to settle in the firm's favor simply to limit legal costs.
- Aggressive use of ISDS — especially around "legitimate expectations" claims — can produce "regulatory chill," where governments quietly decline to pursue public-interest regulation for fear of triggering a costly ISDS claim.

Learning Objectives

Through reading, analyzing, and discussing this case, you'll develop a deeper understanding of the controversies surrounding ISDS and, more generally, the legal rights afforded to multinational firms. You should come away with working knowledge of the broad facts of the PM v. Australia case, an appreciation for the trade-offs ISDS involves, the challenge of distinguishing public-interest regulation from protectionist regulation, and some sense of how the ISDS system might be reformed.

Big-Picture Questions to Keep in Mind

These are broad framing questions to guide your reading — not the specific prompts for the in-class write-up, which go deeper into the particular facts of the case and are distributed separately.

1. Should tobacco companies and other "vice" industries (alcohol, cannabis, gambling — maybe social media?) have rights to ISDS?
2. What kinds of regulatory changes should MNEs be protected against, if any? How might ISDS protection be extended to some regulatory changes but not others?
3. Should countries continue to abide by treaties with ISDS provisions? If so, what reforms might make the system fairer — or are no changes needed?

This overview is here to help you prepare — it is not a substitute for the assigned reading. The specific discussion questions for our in-class case write-up are distributed at the start of class.